

INSURANCE AND PENSIONS COMMISSION

(IPEC)



LIFE ASSURERS REPORT

YEAR ENDING 30 SEPTEMBER 2016

Commission Head Office

160 Rhodesville Avenue

Greendale

P.O Box HR6773

Harare

Zimbabwe

Tel : +263-443358/361/422

Cell: +263-772154281/283/284

Fax: +263443304

Website: www.ipec.co.zw

E-mail : enquiries@ipec.co.zw



Table of Contents

Executive Summary	4
List of Tables	5
List of Figures	6
Definition of Terms	7
Section A	8
LIFE ASSURERS	8
2.1.1 Scope of Life Assurers Business	8
2.1.2 Number of Operational Institutions	8
2.1.3 Market Share by Net Premium Written	8
2.1.4 Retention Levels	9
2.1.5 Business Composition by Company	10
2.1.5.1 Business Composition by Product	12
2.1.6 Not Taken Up & Lapsed Policies	15
2.1.6.1 Claims Aged Analysis	16
3.1.1 Debtors Aged Analysis	17
3.1.2 Earnings	18
3.1.3 Asset Quality – Industry Asset Values	19
3.1.5 Capitalisation	22
3.1.6 Life Agencies	24
Section B	25
Life Reassures	25
4.1.0 Number of Operational Institutions	25
4.1.1 Business Written	25
4.1.2 Market Share by NPW	26
4.1.3 Market Share by GPW of life Assurers.	26
4.1.7 Asset Quality	27
Section C	28
Circulars & Statutory Instruments	28



5.1.1	Issued circulars & Statutory Instruments	28
5.1.2	List of Approved Prescribed Assets	29
	Section D	31
	Conclusion.....	31
6.1.1	Conclusion.....	31

Executive Summary

This report seeks to apprise all insurance stakeholders on the operations of Zimbabwe life assurance companies for the nine months ended 30 September 2016. The aim and objectives of this report is to impart various information not limited to the number of players in the Zimbabwe life insurance industry but also analysis of key insurance performance indicators. Information used to come up with the report was obtained from the participating players in the Zimbabwe life insurance industry.

For the period ending 30 September 2016, assurance companies wrote net premium of US\$257 million which was 6% growth from US\$243 million in the comparative period. Total costs were \$219 million resulting in a combined ratio of 85%, a 14% growth from the same period last year.

Total assets regressed by 2% from \$1,557billion last year to the current \$1,527billion reflecting investment losses by players due to the challenging operating environment characterised by low liquidity. Prescribed assets ratio improved tremendously to 12% following punitive as well as engagement efforts by IPEC (See Table 1 below).

Table 1.1 Financial Performance Indicators of Life Companies and Life Reassurers as at 30 September 2016.

Financial Aspect	Life Assurers			Life Reassurers			TOTALS		
	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth
Gross Premiums Written	242,048	256,804	6%	6,995	5,815	-17%	n/a	na	n/a
Net Premiums Written	236,583	252,452	7%	5,742	4,684	-18%	243,583	257,136	6%
Retention Ratio	98%	98%	-	82%	81%	-2%	n/a	n/a	-
Total Gross Claims	113,586	141,736	25%	2,471	1,645	-33%	116,057	143,381	24%
Total Net Claims (\$000)	112,217	146,340	30%	2,471	2,263	-8%	115,296	148,603	29%
Management & Admin Expenses	44,153	56,877	29%	1,169	1,023	-12%	46,082	57,900	26%
Commissions	11,362	11,832	4%	1,331	1,049	-21%	12,693	12,881	1%
Total Costs	167,684	215,051	28%	4,971	4,335	-13%	174,070	219,386	26%
Technical Profit	68,899	37,401	-46%	771	349	-55%	69,513	37,750	-46%
Expense Ratio	23%	27%	0.17	44%	44%	0%	24%	23%	-1%
Claims Ratio	47%	85%	14%	43%	48%	5%	47%	56%	9%
Combined Ratio	71%	98%	27%	87%	92%	5%	71%	85%	14%
Total Assets	1,535,055	1,474,146	-4%	13,913	52,651	278%	1,556,666	1,526,797	-2%
Current Assets	324,007	267,289	-17.51%	5,121	31,620	517%	332,199	298,909	-10%
Current Liabilities	97,880	60,589	-38%	1,437	14,979	942%	106,496	75,568	-29%
Total Liabilities	1,264,223	1,255,416	-1%	6,815	25,595	276%	1,278,790	1,281,011	0%
Free Capital	270,832	218,730	-19%	7,098	27,056	281%	277,876	245,786	-12%
Liquidity/Current Ratio	193%	441%	248%	356%	211%	-145%	312%	396%	84%
Capital to liability Ratio	21%	17%	(4.00)	104%	106%	2%	22%	16%	-6%
Prescribed Assets	82,609	179,996	118%	523	803	54%	82,609	180,799	119%
Prescribed Asset Ratio (%)	7.0%	15.0%	7.0%	4.0%	1.5%	-2%	5%	12%	7%



List of Tables

Table 1.1	Financial Performance Indicators of Life Companies and Life Reassurers as at 30 September 2016.
Table 1.2	NWP distribution for the cumulative months ended 30 September 2016.
Table 1.3	Business Composition by Company as at 30 September 2016.
Table 1.4	Gross Premium Written as per Product for the ended 30 September 2016.
Table 1.5	Not taken up policies for Life Insurers as at 30 September 2016.
Table 1.6	Claims Aged Analysis as at 30 September 2016.
Table 1.7	Combined Ratio computation as at 30 September 2016.
Table 1.8	Asset Quality as at 30 September 2016.
Table 1.9	Life Insurers Capitalisation, Solvency & liquidity as at 30 September 2016.
Table 2.0	Life insurers agency statement as at 30 September 2016.
Table 2.1	Business indicators for life Reassurers as at 30 September 2016.
Table 2.2	Life Reassurers Market Share by NPW as at 30 September 2016.
Table 2.3	Life Reassurers Asset Quality as at 30 September 2016.
Table 2.4	Issued Acts, Circulars and Statutory Instruments for the year ended 30 September 2016.
Table 2.5	List of Approved Prescribed Assets as at 30 September 2016.

List of Figures

- Figure 1 Market Share in terms of NPW as at 30 September 2016.
- Figure 2 Industry Business Retention as at 30 September 2016.
- Figure 3 Cumulative Industrial Business Composition as at 30 September 2016.
- Figure 4 Gross Premium by Product as at 30 September 2016.
- Figure 5 Debtors aged analysis as at 30 September 2016.
- Figure 6 Life Industry Assets as at 30 September 2016.
- Figure 7 Market Share by GPW of life assurers as at 30 September 2016.

Definition of Terms

GWP	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/Commission	Insurance & Pensions Commission
Q2	Second Quarter
Q3	Third Quarter
Q4	Fourth Quarter
TFC	Treating Customers Fairly
Prescribed Assets	prescribed securities as defined by Insurance Act (Chapter 24:07)
'15	2015
'16	2016
H1	Half Year
Var	Variance

Note **All Monetary Figures are in USD and in Thousand (000).**



Section A

LIFE ASSURERS

2.1.1 Scope of Life Assurers Business

The report covers various aspects of life assurers' operations, the number of operational institutions and market share both by Net Premium Written and Gross Premium Written. It will further look at business composition and related key cost drivers for the life insurance industry, industry asset base and key risks facing the industry.

2.1.2 Number of Operational Institutions

As at 30 September 2016, there were 11 life assurers operating in Zimbabwe. Altfin Life Assurance Company remains under liquidation hence it was not transacting any business hence not part of this report analytics.

2.1.3 Market Share by Net Premium Written

Life insurance net premium written grew by 7% from the previous US\$237 million to the current US\$252 million for the comparative period as depicted by Table 1.2 below.

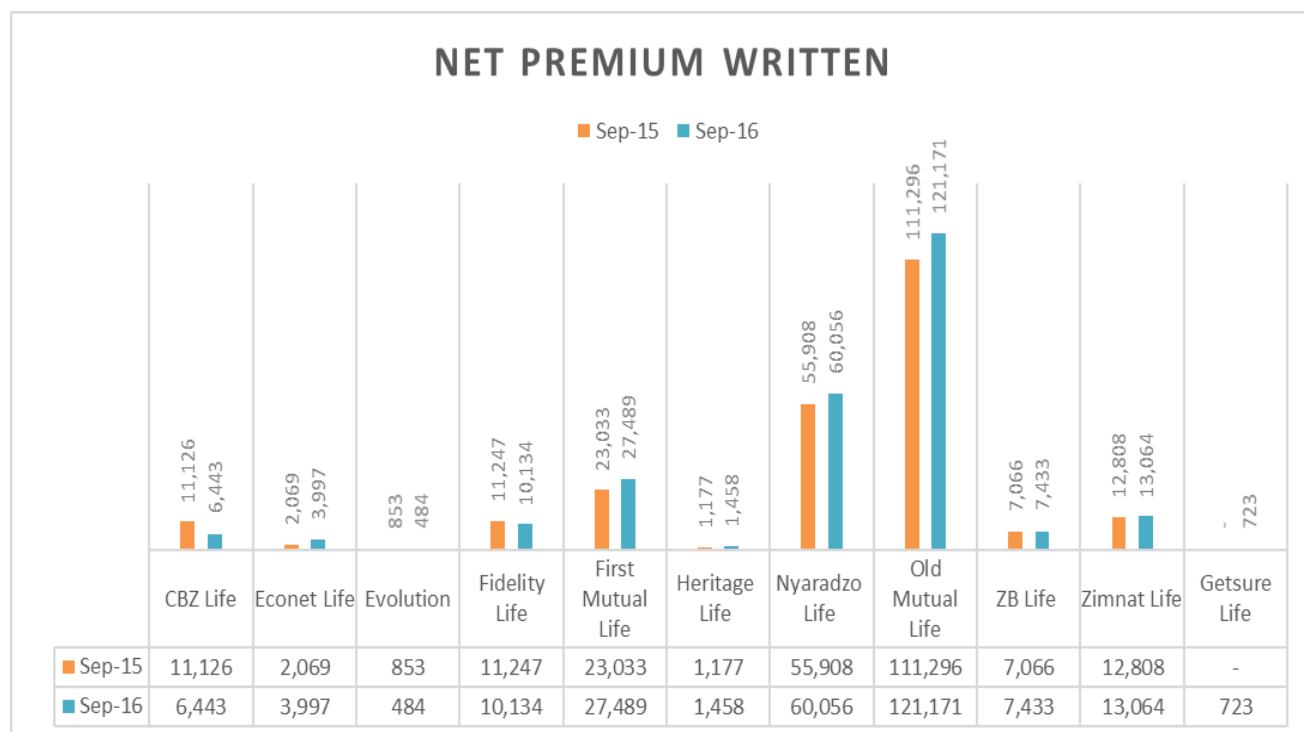
Table 1.2 Net Premium Written Distribution for the cumulative months ended 30 September 2016

Name of Company	Net Premium Written (NPW)		Growth
	Sep-15	Sep-16	(%)
CBZ Life	11,126	6,443	-42%
Econet Life	2,069	3,997	93%
Evolution Health & Life	853	484	-43%
Fidelity Life Assurance	11,247	10,134	-10%
First Mutual Life	23,033	27,489	19%
Getsure Life Assurance	-	723	100%
Heritage Life	1,177	1,458	24%
Nyaradzo Life Assurance	55,908	60,056	7%
Old Mutual Life Assurance	111,296	121,171	9%
ZB Life Assurance	7,066	7,433	5%
Zimnat Life Assurance	12,808	13,064	2%
Total	236,583	252,452	7%

In relation to business concentration, the biggest players in the industry namely Old Mutual, Nyaradzo and First Mutual controlled US\$209 million or

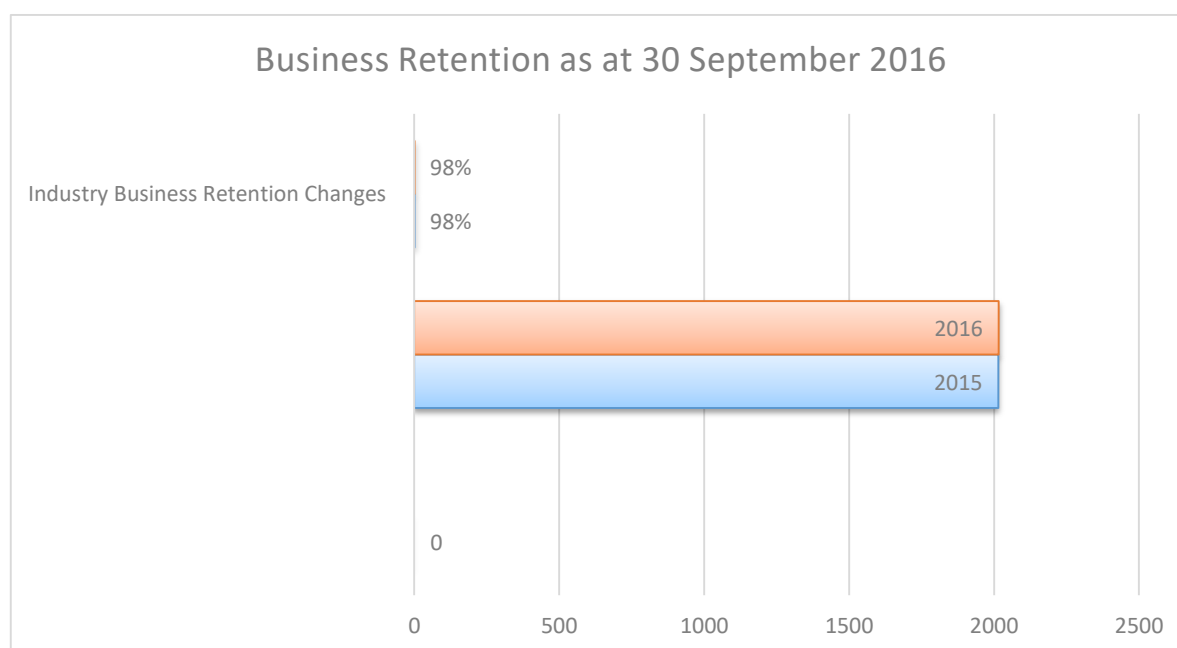
83% of market net premium written as at September 2016 as illustrated on Fig 1 below

Figure 1. Market Share in terms of Net Premium Written for the period ended 30 September 2016



2.1.4 Retention Levels

Life insurers reported a stagnant industry retention ratio of 98% for the third quarter of 2016, reflecting no change from 98% retention ratio in 2015 as depicted on the below Fig. 2.

Figure 2. Industry Business Retention - 30 September 2016

This entails no significant changes in risk appetite of the life insurance companies.

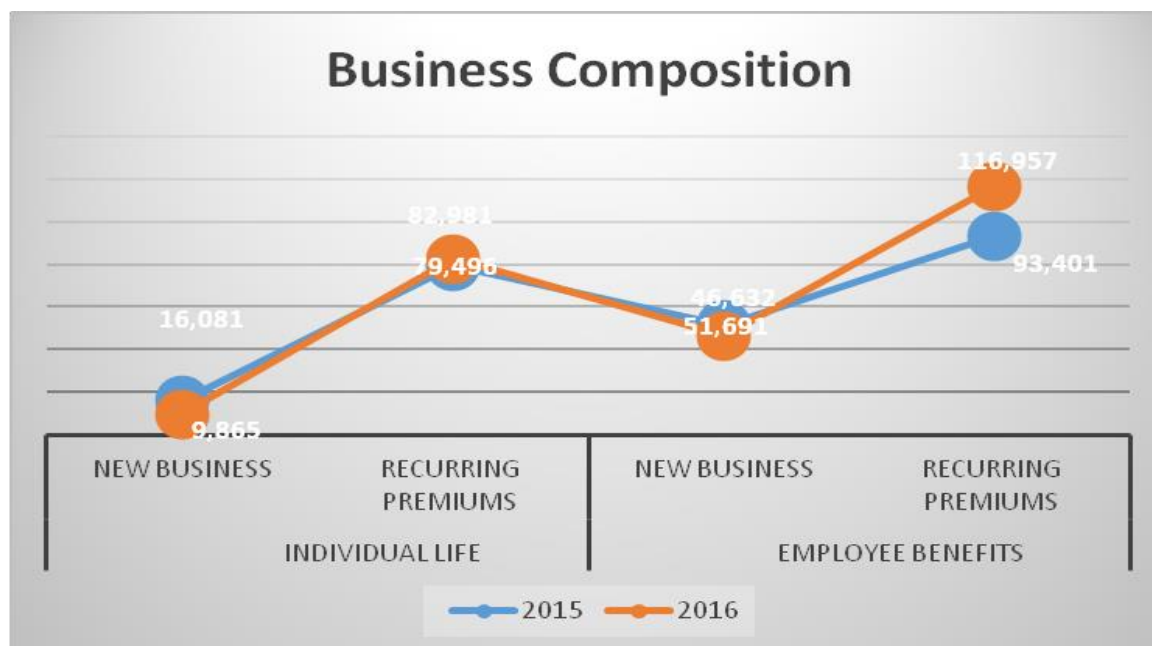
2.1.5 Business Composition by Company

In the cumulative period to 30 September 2016, industry Gross Premium Written grew by 7% from US\$236 million to US\$252 million. This was achieved via recurring business for the life insurers (organic growth) as illustrated in Table 1.3 below which rose to US\$256 million from US\$240 million under the review period.

Table 1.3 Business Composition by Company - 30 September 2016

Company Name	Individual Life						Employee Benefits						Total		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Sep-15	Sep-16	Growth (%)	Sep-15	Sep-16	Growth (%)	Sep-15	Sep-16	Growth (%)	Sep-15	Sep-16	Growth (%)	Sep-15	Sep-16	Growth (%)
CBZ Life	884	27	-97%	6,167	5,206	-16%	-	775	100%	4,484	1,012	-77%	11,535	7,020	-39%
Econet Life	1,650	267	-84%	604	3,443	470%	39	-	-100%	-	662	100%	2,293	4,372	91%
Evolution Health & Life	137	9	-93%	717	477	-33%	-	-	-	-	-	-	854	486	-43%
Fidelity Life Assurance	534	515	-4%	4,310	2,985	-31%	6,279	-	-100%	469	6,987	1390%	11,592	10,487	-10%
First Mutual Life	1,580	1,370	-13%	10,933	11,657	7%	4,268	1	-100%	6,601	14,772	124%	23,382	27,800	19%
Getsure Life Assurance	-	58	100%	-	255	100%	-	281	100%	-	149	100%	-	743	100%
Heritage Life	1,011	308	-70%	157	1,152	634%	-	-	-	36	10	-72%	1,204	1,470	22%
Nyaradzo Life Assurance	1,141	833	-27%	43,700	41,490	-5%	96	191	99%	10,971	17,542	60%	55,908	60,056	7%
Old Mutual Life Assurance	5,801	4,939	-15%	8,715	9,539	9%	39,471	43,388	10%	59,190	65,065	10%	113,177	122,931	9%
ZB Life Assurance	2,156	128	-94%	2,119	3,419	61%	460	466	1%	2,633	3,729	42%	7,368	7,742	5%
Zimnat Life Assurance	1,187	1,411	19%	2,074	3,358	62%	1,078	1,530	42%	9,017	7,397	-18%	13,356	13,696	3%
Total	16,081	9,865	-39%	79,496	82,981	4%	51,691	46,632	-10%	93,401	117,325	26%	240,669	256,803	7%

The industry's top 4 life insurers accounted for US\$211 million or 82% of the US\$257 million in total gross premiums. Figure 3 below shows cumulative industry growth trends for the life insurers for the period under review: -

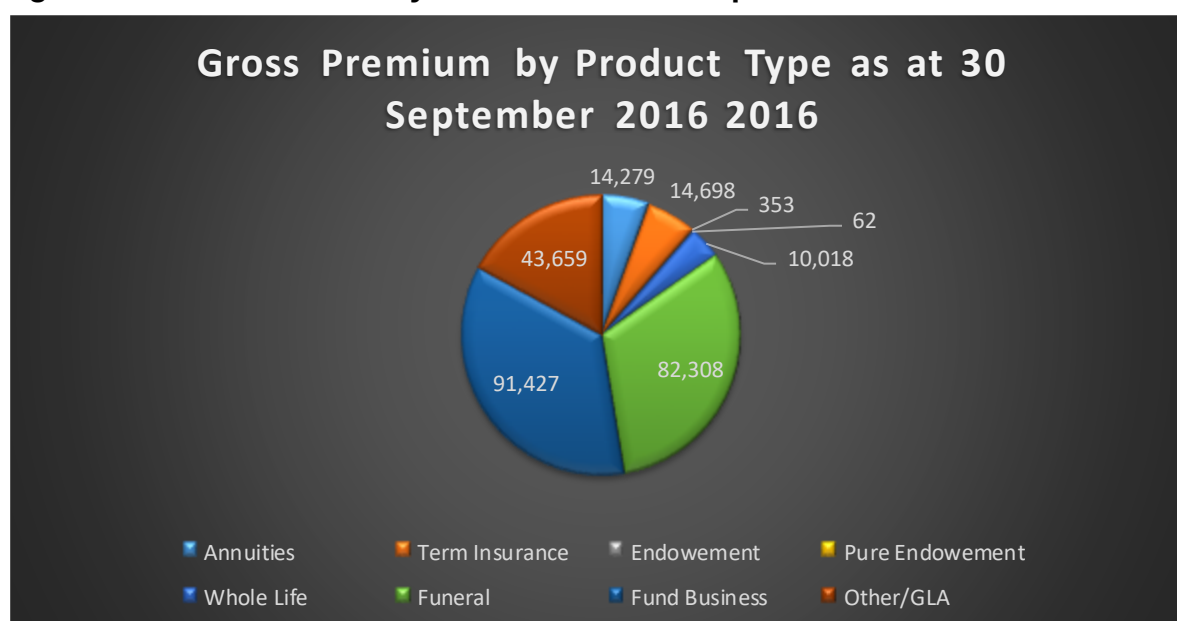
Figure 3. Cumulative Industrial Business Composition as at 30 September 2016

2.1.5.1 Business Composition by Product.

The biggest income stream for life companies in Zimbabwe remained fund business though it declined by 11% from US\$102 million to US\$91 million over the period under review as shown in the below Table 1.4. Significant business growth was experienced on GLA and other products that rose by 123% from US\$19.6 million to US\$43.6 million between September 2015 and September 2016. Endowment and Pure Endowment products remained unattractive to the market as growth was negative. Such products require effective sales and marketing strategies in the wake of economic challenges facing the country.

The commission is tireless in encouraging product innovation, product differentiation and market segmentation in order to ensure that meet customer expectation. Across the industry, GPW by product class increased by 7% from US\$242 million to US\$257 million during the period under review.

Figure 4. Gross Premium by Product as at 30 September 2016



As illustrated on the above figure 4, funeral business occupied large and significant market space as it grew by 5% from US\$77 million to US\$81 million for the period under review while annuities rose by 27% from US\$11 million to US\$14 million. In light of that, the Commission encourages businesses to diversify and service untapped markets especially the informal sector.

Table 1.4 GPW as per Product for the period ended 30 September 2016

	Annuities			Term Insurance			Endowment			Pure Endowment			Whole Life			Funeral			Fund Business			Other/GLA			Totals		
Company	Sep-15	Sep-16	Growth (%)	Sep-15	Sep-16	Growth (%)	Sep-15	Sep-16	Growth (%)	Sep-15	Sep-16	Growth (%)	Sep-15	Sep-16	Growth (%)	Sep-15	Sep-16	Growth (%)	Sep-15	Sep-16	Growth (%)	Sep-15	Sep-16	Growth (%)	Sep-15	Sep-16	Growth (%)
CBZ Life	-	-	-	5,298	2,585	-51%	18	21	17%	-	-	-	28	90	221%	6,191	4,324	-30%	-	-	-	-	-	-	11,535	7,020	-39%
Econet Life	-	-	-	-	-	-	-	-	-	-	-	-	302	100%	2,293	4,070	100%	-	-	-	-	-	-	2,293	4,372	91%	
Evolution Health & Life	-		-	-		-	-	-	-	-	-	-	-	-	242	487	101%	-	-	-	-	-	-	854	487	-43%	
Fidelity Life Assurance	91	4	-96%	47	52	11%	300	47	-84%	131	21	-84%	214	3,078	1338%	2	18	800%	10	240	2300%	-	7,027	100%	11,592	10,487	-10%
First Mutual Life	3,600	7,001	94%	1,654	2,536	53%	191	238	25%	-	-	-	642	608	-5%	6,213	5,816	-6%	6,831	-	-100%	4,252	11,602	173%	23,383	27,801	19%
Getsure Life Assurance	-	-	-	-	273	100%	-	-	-	-	-	-	158	100%	-	104	100%	-	-	-	-	207	100%	-	742	100%	
Heritage Life	10		-100%	-	-	-	-	-	-	-	-	-	-	-	1,194	1,156	-3%	-	6	100%	-	308	100%	1,204	1,470	22%	
Nyaradzo Life Assurance	-	-	-	-	-	-	-	-	-	-	-	-	-	-	55,908	60,056	7%	-	-	-	-	-	-	55,908	60,056	7%	
Old Mutual Life Assurance	6,726	6,699	-0.4%	-	-	-	-	-	-	-	-	-	4,478	4,893	9%	3,168	3,274	3%	83,487	91,181	9%	15,319	16,884	10%	113,178	122,931	9%
ZB Life Assurance	24	4	-83%	36	1	-98%	519	47	-91%	217	41	-81%	8	1	-88%	275	34	-88%	6,289	-	-100%	-	7,615.00	100%	7,368	7,743	5%
Zimnat Life Assurance	764	571	-25%	3,326	9,251	178%	-	-	-	-	-	-	691	888	29%	2,528	2,969	17%	6,005	-	-100%	42	16	-62%	13,356	13,695	3%
Total	11,215	14,279	27%	10,361	14,698	42%	1,028	353	-66%	348	62	-82%	6,061	10,018	65%	78,014	82,308	6%	102,622	91,427	-11%	19,613	43,659	123%	242,049	256,804	6%
																							*Altfin		1,378		

2.1.6 Not Taken Up & Lapsed Policies

The industry reported not taken up policies (NTU) amounting to 22, 444 policies, in the sum of US\$93, 713 as at 30 September 2016 as depicted by Table 1.5 below.

The industry lapsed a total of 211, 594 policies as at 30 September 2016 resulting in a lapse ratio of 89.70% as compared to 973 policies that were lapsed previously.

Table 1.5 Not taken up policies for Life Insurers as at 30 September 2016

Company	Number of Policies	Total Gross Premium
	(NTU)	(TGP)
CBZ Life	595	7,029
Econet Life	16,433	21,582
Evolution	-	-
Fidelity Life	1,266	32,087
First Mutual Life	3,591	21,466
Getsure Life	440	9,876
Heritage Life	-	-
Nyaradzo Life	-	-
Old Mutual Life	107	1,201
ZB Life Assurance	12	472
Zimnat Life	-	-
Totals	22,444	93,713

2.1.6.1 Claims Aged Analysis

Analysis of claims aged data showed that some players had ageing claims in excess of 121 days whilst the majority had claims creditors aged 30-60 days period. We require players to pay claims timeously not only in terms of abiding with the law but also as best practice in terms of treating customers fairly.

Table 1.6 Claims Aged Analysis as at 30 September 2016

Age	CBZ Life		Econet Life		Evolution		Fidelity Life Ass.		FM Life Ass.		Getsure		Heritage Life		Nyaradzo		OM		ZB Life Ass.		Zimnat		Total	
	Sep-15	Sep-16	Sep-15	Sep-16	Sep-15	Sep-16	Sep-15	Sep-16	Sep-15	Sep-16	Sep-15	Sep-16	Sep-15	Sep-16	Sep-15	Sep-16	Sep-15	Sep-16	Sep-15	Sep-16	Sep-15	Sep-16	Sep-15	Sep-16
>30days	7	1	.	2,074	.	4	1	238	331	197	.	16	.	.	.	.	.	95	312	49	.	.	651	2,674
31-60days	.	.	.	.	.	3	.	54	40	77	.	.	.	.	.	.	.	.	.	21	.	.	40	155
61-90days	.	.	.	.	.	.	.	5	4	102	.	.	.	.	.	.	.	.	18	42	.	.	22	149
91-120days	.	.	.	.	.	.	.	3	30	201	.	.	.	.	.	.	.	.	11	214	.	.	41	418
<121 days	39	6	.	.	.	.	.	7	944	584	.	.	.	.	.	.	.	.	216	356	.	.	1,199	953
Total	46	7	.	2,074	.	7	1	307	1,349	1,161	.	16	.	.	.	.	.	95	557	682	.	.	1,953	4,349



For the current period ending 30 September 2016, life companies owed policy holders US\$4 million from US\$2 million in the third quarter of 2015.

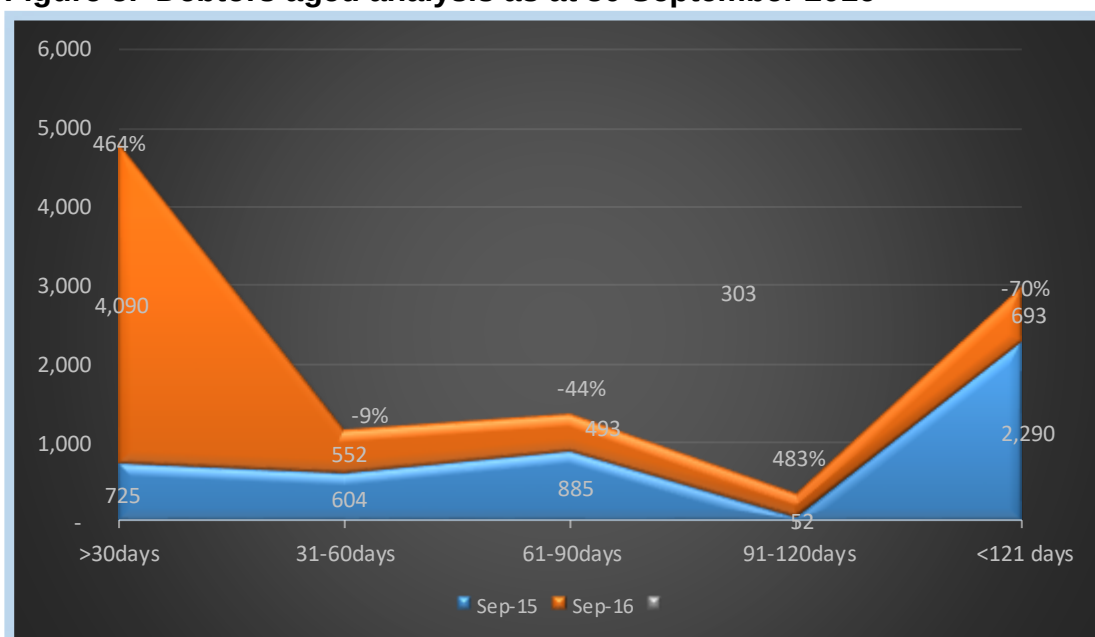
3.1.1 Debtors Aged Analysis

For the current period under review, life companies had US\$0.7 million of its debtors above 121 days against US\$2 million in same period in 2015 as shown by Fig 5 below. This gave rise to a decline in debtors in that range by 70% which meant that effective policies were put forth by the insurers to recover and enforce payment by their clients.

Industry-wide, uncollected premiums amounted to US\$6 million as at 30 September 2016 against US\$4 million in the third quarter of 2015 which meant a 35% increase in uncollected premiums.

This trend shows that the market is currently depressed by liquidity challenges as settlement of premiums is continuously a challenge. The industry is encouraged to ensure it comes up with stringent premium collection models so as to improve its average premium collection rates.

Figure 5. Debtors aged analysis as at 30 September 2016



3.1.2 Earnings

The breakdown of industry expenditure in computation of combined ratio showed that claims expenses rose by 30% from US\$112 million to US\$146 million for the period under review. Operational expenditure grew by 29% from US\$44 million to US\$57 million whilst commission grew from 5% to US\$12million in the period under review. Thus, the industry's combined ratio was 85% from the previous 71% as shown in Table 1.7 below.

Table 1.7 Combined Ratio Computation - 30 September 2016

Co. Name	NPW			Claims			Commissions			Management Expenses			Total Costs			Combined Ratio	
	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16
Heritage Life	1,177	1,458	24%	189	316	67%	124	151	22%	757	1,043	38%	1,070	1,510	41%	91%	104%
OM	111,296	121,171	9%	76,976	86,778	13%	1,622	1,580	-3%	11,339	11,121	-2%	89,937	99,479	11%	81%	82%
Zimnat	12,808	13,064	2%	5,119	5,589	9%	936	1,129	21%	2,644	3,712	40%	8,699	10,430	20%	68%	80%
ZB Life Ass.	7,066	7,433	5%	3,256	3,480	7%	1,058	1,125	6%	1,379	2,447	77%	5,693	7,052	24%	81%	95%
Nyaradzo	55,908	60,056	7%	14,071	29,952	113%	4,745	5,182	9%	8,386	23,926	185%	27,202	59,060	117%	49%	98%
Evolution	853	484	-43%	89	14	-84%	122	92	-25%	370	272	-26%	581	378	-35%	68%	78%
FM Life Ass.	23,033	27,489	19%	8,387	12,401	48%	1,249	1,170	-6%	10,905	7,547	-31%	20,541	21,118	3%	89%	77%
Econet Life	2,069	3,997	93%	364	2,053	464%	9	-	-100%	1,302	1,854	42%	1,675	3,907	133%	81%	98%
CBZ Life	11,126	6,443	-42%	2,547	2,364	-7%	1,207	940	-22%	2,506	-	-100%	6,260	3,304	-47%	56%	51%
Fidelity Life Ass.	11,247	10,134	-10%	1,219	3,342	174%	242	343	42%	4,565	4,491	-2%	6,026	8,176	36%	54%	81%
Getsure	-	723	100%	-	53	100%	-	120	100%	-	464	100%	-	637	100%	-	88%
Total	236,583	252,452	7%	112,217	146,342	30%	11,314	11,832	5%	44,153	56,877	29%	167,684	215,051	28%	71%	85%



3.1.3 Asset Quality – Industry Asset Values

As at 30 September 2015 total life industry assets were US\$1,535 billion compared to US\$1,474 billion as at the current reporting date.

Individually, properties grew by 11% to US\$560 million as at 30 September 2016 from US\$506 million in 2015 while equities declined by 13% from US\$401 million to US\$348 million as shown in Table 1.8 below. Money markets also declined by 12% from US\$216 million to US\$189 million as at 30 September 2016.

Insurers are obliged by law to invest in prescribed assets to augment Government efforts in economic and sustainable development. Life companies and life reassurers invested a total of US\$180 million in prescribed assets as at 30 September 2016 which was 118% increase from US\$82 million that was invested by end of third quarter of 2015.

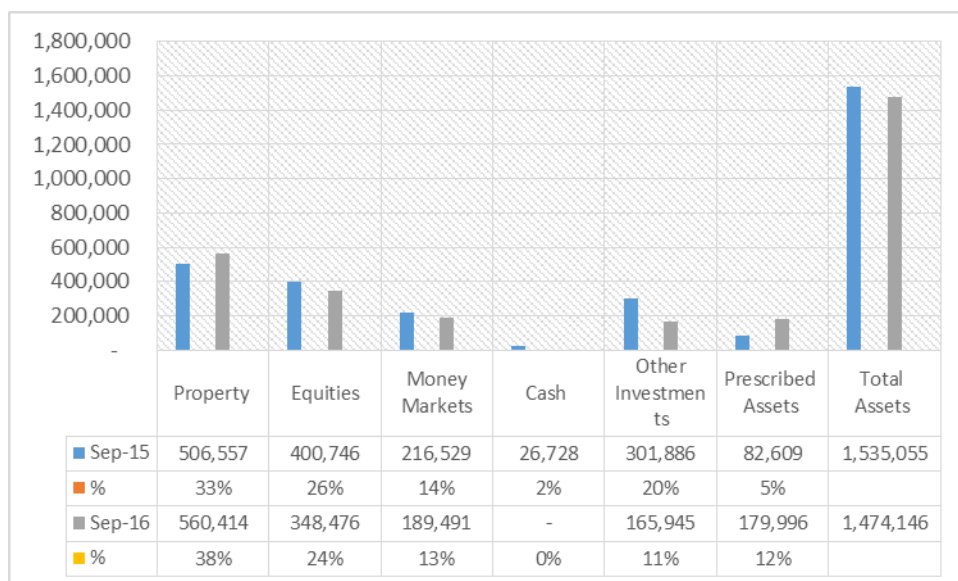
The industry attained prescribed assets status of 15% (net of capital) for the period as statutorily it is expected to at least meet 7.5% investment in prescribed assets (See Table 1.1 above).



Table 1.8 Asset Quality as at 30 September 2016.

	Fixed Property			Equities			Money Markets			Cash			Other Investments			Prescribed Assets			Total Assets		
Co. Name	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth
CBZ Life	287	1,500	423%	-	-	-	11,823	11,242	-5%	763	1,036	36%	3,066	1,564	-49%	1,590	4,112	159%	17,529	18,386	5%
Econet Life	-	-	-	-	-	-	803	1,854	131%	1,103	1,501	36%	432	82	-81%	1,644	1,654	1%	3,982	6,083	53%
Evolution Health & Life	503	65	-87%	1,258	1,656	32%	171	300	75%	9	20	122%	1,188	1,643	38%	100	-	-100%	3,229	3,684	14%
Fidelity Life Assurance	23,707	16,924	-29%	9,199	26,124	184%	6,795	2,607	-62%	766	409	-47%	22,230	42,210	90%	17,018	8,140	-52%	79,715	96,414	21%
First Mutual Life	13,138	7,663	-42%	14,078	14,087	0.1%	11,936	7,534	-37%	2,151	2,826	31%	142,029	65,723	-54%	7,658	18,030	135%	190,990	115,872	-39%
Getsure Life Assurance	-	394	100%	-	-	-	-	-	-	-	81	100%	-	768	100%	-	156	100%	-	2,280	100%
Heritage Life	771	716	-7%	1,275	1,273	-0.2%	14	117	736%	81	42	-48%	999	1,853	85%	-	-	-	3,140	4,001	27%
Nyaradzo Life Assurance	31,722	70,976	124%	696	795	14%	14,098	6,762	-52%	6,116	3,908	-36%	13,370	1,777	-87%	6,831	9,955	46%	72,833	94,170	29%
Old Mutual Life Assurance	416,198	435,283	5%	355,273	285,329	-20%	147,669	136,440	-8%	13,896	16,187	16%	81,590	16,433	-80%	43,688	130,646	199%	1,058,314	1,020,318	-4%
ZB Life Assurance	3,381	2,950	-13%	6,694	6,513	-3%	2,927	4,126	41%	259	147	-43%	33,423	31,399	-6%	1,744	2,424	39%	48,428	47,560	-2%
Zimnat Life Assurance	16,850	23,943	42%	12,273	12,699	3%	20,293	18,509	-9%	1,584	2,855	80%	3,559	2,493	-30%	2,336	4,879	109%	56,895	65,378	15%
Total	506,557	560,414	11%	400,746	348,476	-13%	216,529	189,491	-12%	26,728	29,012	9%	301,886	165,945	-45%	82,609	179,996	118%	1,535,055	1,474,146	-4%



Figure 6. Industry assets base as at 30 September 2016.

3.1.5 Capitalisation

As at 30 September 2016, all life companies except Getsure were fully compliant with minimum capital requirement of US\$2 million as shown by table 1.9 below.

The industry reported a capital to liability ratio of 17% as at 30 September 2016 against 21% reflected in the comparative period in 2015. Liquidity ratio was 441% in the quarter ending 30 September 2016 while it was 193% in the comparative period under review. This means that the industry is liquid enough to cover its obligations such as claims and recurrent expenditure

Table 1.9: Life Insurers Capitalisation, Solvency & Liquidity as at 30 September 2016

	Current Assets			Current Liabilities			Total Assets			Total Liabilities			Capital (Net Assets)			Capital to Liability (%)			Liquidity (Current) (%)		
Co. Name	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth
CBZ Life	16,635	16,047	-4%	4,074	2,635	-35%	17,529	18,386	5%	5,266	4,093	-22%	12,263	14,293	17%	233	349	116	467	609	142
Econet Life	1,908	5,013	163%	764	2,504	228%	3,982	6,083	53%	764	2,642	246%	3,218	3,441	7%	421	130	-291	-	200	100
Evolution Health & Life	1,071	598	-44%	403	337	-16%	3,229	3,684	14%	627	547	-13%	2,602	3,137	21%	415	573	158	258	177	-81
Fidelity Life Assurance	40,384	33,256	-18%	15,318	16,558	0.1	79,715	96,414	21%	65,860	81,235	23%	13,855	15,179	10%	21	19	-2	359	201	-158
First Mutual Life	22,160	12,280	-45%	20,180	1,673	-92%	190,990	115,872	-39%	122,067	105,499	-14%	68,923	10,373	-85%	56	10	-46	45	734	689
Getsure Life Assurance	-	1,022	100%	-	391	100%	-	2,280	100%	-	576	100%	-	1,704	100%	-	296	296	-	262	100
Heritage Life	882	1,793	103%	338	1,744	416%	3,140	4,001	27%	506	1,744	245%	2,634	2,257	-14%	521	129	-392	519	103	-416
Nyaradzo Life Assurance	40,166	57,004	42%	6,857	4,297	-37%	72,833	94,170	29%	65,434	83,779	28%	7,399	10,391	40%	11	12	1	55	1,327	1,272
Old Mutual Life Assurance	182,762	117,337	-36%	45,513	25,462	-44%	1,058,314	1,020,318	-4%	931,225	897,609.00	-4%	127,089	122,709	-3%	14	14	-	339	461	122
ZB Life Assurance	3,751	4,748	27%	2,375	1,876	-21%	48,428	47,560	-2%	31,269	31,730	1%	17,159	15,830	-8%	55	50	-5	194	253	59
Zimnat Life Assurance	14,288	18,191	27%	2,058	3,112	51%	56,895	65,378	15%	41,205	45,962	12%	15,690	19,416	24%	38	42	4	585	585	-
Total	324,007	267,289	-18%	97,880	60,589	-38%	1,535,055	1,474,146	-4%	1,264,223	1,255,416	-1%	270,832	218,730	-19%	21	17	-4	193	441	248



3.1.6 Life Agencies

In order to operate business through various distribution channels, life companies are required to ensure that they use approved and registered agents by the Commission. As at 30 September 2016, life companies had 1,296 agencies wherein business transactions were made as depicted on table 2.0 below.

Only CBZ, Getsure, Nyaradzo and Old Mutual had fully registered corporate agents totalling 22. Getsure and Evolution had no agencies either corporates or individual agencies. The industry is encouraged to expand distribution channels to ensure reaching subserviced markets.

Table 2.0 Life Insurers Agency statement as at 30 September 2016.

Co. Name	Corporates Agents		Individuals Agents		Total
	Fully Registered	Provisionally Licensed	Fully Registered	Provisionally Licensed	
CBZ Life	4	-	34	48	86
Econet Life	-	-	-	-	-
Evolution	-	-	-	-	-
Fidelity Life Ass.	-	-	10	32	42
FM Life Ass.	-	-	118	98	216
Getsure	1	-	23	9	33
Heritage Life	-	-	2	-	2
Nyaradzo	5	-	220	33	258
Old Mutual Life	12	-	195	69	276
ZB Life Ass.	-	-	31	105	136
Zimnat Life Ass.	-	-	94	153	247
Total	22	-	727	547	1,296



Section B

Life Reassures

4.1.0 Number of Operational Institutions

As at 30 September 2016, there were three (3) life reassurers namely Baobab Re, FM Re and FBC Re.

4.1.1 Business Written

The premium written by life reassurers decreased marginally from US\$6 million to US\$5 million for the period ended 30 September 2016. Retention ratio was 81% in 2016 as compared to 82% in 2015 as shown by table 1.1 above (page 4)

Total net claims decreased from US\$2.4 million to US\$2.3 million and total costs decreased by 13% from US\$4.9 million to US\$4.3 million in the comparative period respectively. This gave a combined ratio of 92% as at 30 September 2016 (See Table 2.1 below)

Table 2.1 Business indicators for life Reassurers - 30 September 2016

Indicator	Baobab Re	FBC Re	FM Re	Total
Gross Premiums Written (\$000)	3,194	555	2,066	5,815
Net Premiums Written (\$000)	2,700	394	1,590	4,684
Retention Ratio	84.53%	70.99%	76.96%	81%
Total Gross Claims (\$000)	1,582	44	59	1,645
Total Net Claims (\$000)	1,489	44	730	2,263
Management & Admin. Expenses (\$000)	500	80	443	1,023
Commissions (\$000)	666	100	283	1,049
Total Costs (\$000)	2,655	224	1,456	4,335
Technical Profit (\$000)	45	170	134	349
Expense Ratio	43%	46%	46%	44%
Claims Ratio	55%	11%	46%	48%
Combined Ratio	98%	57%	92%	92%
Total Assets (\$000)	11,865	24,638	16,148	52,651
Current Assets	3,969	16,343	11,308	31,620
Current Liabilities	5,187	6,379	3,413	14,979
Total Liabilities (\$000)	5,941	12,394	7,260	25,595
Free Capital (\$000)	5,924	12,244	8,888	27,056
Liquidity/Current Ratio	77%	256%	331%	211%
Capital to liability Ratio	100%	99%	122%	106%
Prescribed Assets (\$000)	405	-	398	803
Prescribed Asset Ratio (%)	7%	-	5%	3%



4.1.2 Market Share by NPW

As at 30 September 2016, Baobab Re was the market leader in terms of net written premium (58%). FM Re followed with US\$1.59 million (34%) while FBC Re reportedly wrote the balance of 8% (See Table 2.2 below)

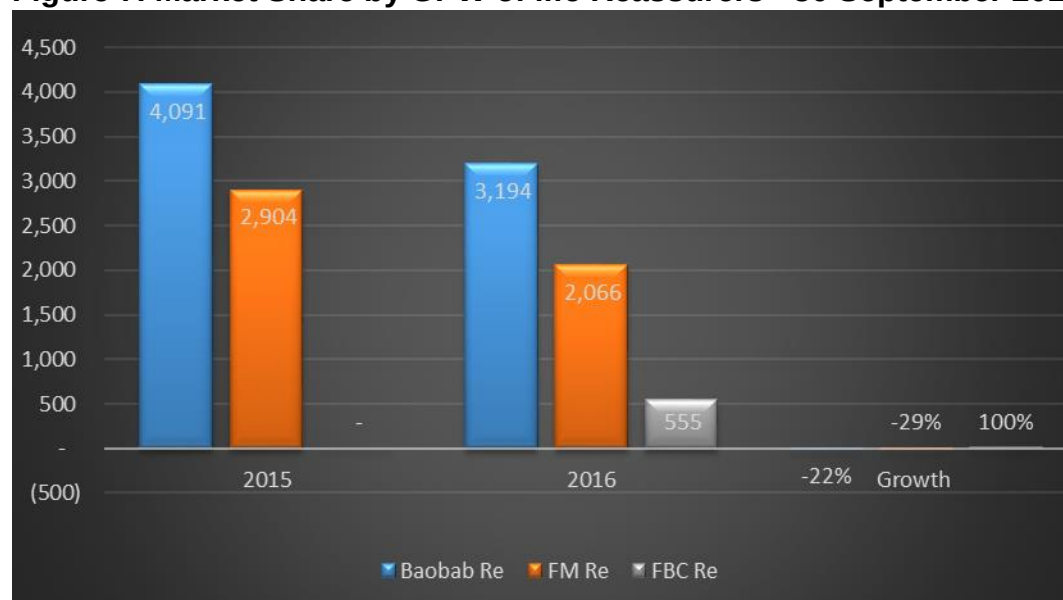
Table 2.2 Life Assurers Market Share by Net Premium Written - 30 September 2016.

	2015	2016	Growth
Baobab Re	3,365	2,700	-20%
FBC Re	-	394	100%
FM Re	2,377	1,590	-33%
Total	5,742	4,684	-18%

4.1.3 Market Share by GPW of life Assurers.

Just like in net premium terms, Gross Premium Written, was more or less the same as Baobab Re with 55% or US\$3,19 million in 2016, FM Re with GPW of US\$2,066 million (35%) and the balance was underwritten by FBC Re (See Figure 7, below)

Figure 7. Market Share by GPW of life Reassurers - 30 September 2016.



4.1.7 Asset Quality

As at 30 September 2016, total reassurers assets base rose by 278% (US\$52.6 million against US\$13.9 million) as compared to the same period last year consisting of equities that were US\$8 million in 2016 as compared to US\$1 million in 2015. Equities were major movers as other assets like fixed properties, money markets, cash and other investments all negatively grew by 100%, 33%, 24% and 83% respectively and as shown on the below table 2.3

Table 2.3 Life Reassurers Asset Quality as at 30 September 2016

Item	Baobab Re			FBC Re			FM Re			Total		
	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth
Fixed Property	-	-	-	-	-	-	38	-	-100%	38	-	-100%
Equities	1,071	8,476	691.41%	-	-	-	-	-	-	1,071	8,476	691%
Money Markets	749	1,073	43.26%	-	-	-	858	-	-100%	1,607	1,073	-33%
Cash	95	162	70.53%	-	-	-	119	-	-100%	214	162	-24%
Other Investments	9,571	1,747	-81.75%	-	-	-	889	-	-100%	10,460	1,747	-83%
Prescribed Assets	523	405	-22.56%	-	-	-	-	398	100%	523	803	54%
Total Assets	12,009	11,865	-1.2%	-	24,638	100%	1,904	16,148	748%	13,913	52,651	278%

Section C

Circulars & Statutory Instruments

5.1.1 Issued circulars & Statutory Instruments

The Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry: -

Table 2.4 Issued Acts, Circulars and Statutory Instruments for the year ended 30 September 2016

Statutory Instrument/ Circular	Subject	Date Gazzeted
Statutory Instrument 21 of 2016	Insurance and Pensions Commission (Levy) Regulations, 2016	12 February 2016
Statutory Instrument 22 of 2016	Pensions and Provident Funds (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 23 of 2016	Insurance (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 24 of 2016	Pension and Provident Funds (Amendment) Regulations, 2016 Commutations	19 th February 2016
Circular 1 of 2016	Investment Guidelines For Life and Self-Administered Funds	14 January 2016
Circular 2 of 2016	Benefit Statements To Members of Pension Funds	4 March 2016
Circular 3 of 2016	Licensing manual for entities in the insurance sector	22 June 2016
Circular 4 of 2016	Proposed Micro-Insurance Regulatory Framework	22 June 2016
Circular 5 of 2016	Certificate of proficiency in Trusteeship	27 June 2016
Circular 6 of 2016	Guidelines on Insurance Products for Life, Funeral Assurance and Non-Life Insurance Companies	13 July 2016
Circular 7 of 2016	Training on AML/CFT	22 August 2016



Circular 8 of 2016	Seminar on Broker Trust Account	6 September 2016
Circular 9 of 2016	Insurance Products offered to the Agricultural sector	20 September 2016
Circular 10 of 2016	Workshop on the presentation of solvency framework	19 October 2016
Circular 11 of 2016	Directive on Governance and Risk Management for insurance companies	19 October 2016
Circular 12 of 2016	Revision of circulars on commutations	11 November 2016

5.1.2 List of Approved Prescribed Assets

Table 2.5 List of Approved Prescribed Assets as at 30 September 2016

Name of the Bond and Issuer	Purpose of the Bond and its salient Features	Update on take ratios
ZB Financial Holdings 2015/2016 Agro bills	The target amount was \$5million at a coupon rate of 5%. Purpose: intended to support the 2015/2016 agricultural season	\$4.716 million was raised from the pension and insurance industry only, indicating an uptake ratio of 94%. Repayments will be made on the 4 th of November 2016 and 19 th of December 2016
FBC & Agribank 2015/2016 Agrobills	The target amount was \$20million at a coupon rate of 10%, Purpose: intended to support the 2015/2016 agricultural season	A total of US\$20million raised from the market, representing 100% uptake of the Bills. Repayments to commence in June.
IDBZ Series 2 2014B (US\$50million)	Bond has a tenor of 5 years at 9% coupon rate. Purpose: Refurbishment of Kariba South Power Station and Repowering of Harare Power Station.	The bank has raised US\$30.75million from the market (i.e. a 62% uptake)
Agricultural Marketing Authority (AMA Bills)	\$50million at a coupon rate of 10.5% p.a Purpose: Finance the purchase of grain by the	Bond Fully repaid in June 2016.



	Grain Marketing Board	
Homelink	Initial bond amount of \$15m. Purpose: Development of stands and construction of housing units	No update at the moment on uptake.
NMB	A \$10 million bond issue, at an indicative coupon rate of 8% for a tenor of 5 years Purpose: Mortgage Loan facility for low income earners	No update at the moment on uptake.
Honde Hydro Power Consolidated	Bond amount of \$5million with a coupon rate of 8.5% to 9%, with a tenor of 5years Purpose: Intended for the construction of Hauna Power Station and to use some of the funds as working capital	Approved on the 13 th of May 2016. No update at the moment on uptake.
IDBZ Series 1 2015B	\$5million bond at a coupon rate of 9.5% with a tenor of 5 years Purpose: To finance housing projects namely New Marimba Park in Harare and Clipshan Views Suburb in Masvingo	Application was approved on the 13 th of May 2016. No update at the moment on uptake.
Agribank and FBC, 2016/2017 Agrobills	Bond amount of US\$20million, coupon rate negotiable on private placement. Purpose: is to finance the 2016/2017 agricultural season.	Application approved on the 27 th of July 2016 and is now open for subscription.
Zimbabwe Electricity Transmission and distribution Company (ZETDC)	Bond amount of \$15million at 7% per annum Purpose: to finance ZETDC Pre-Paid Meters	Application approved on the 27 th of July 2016 and is now open for subscription.

Section D

Conclusion

6.1.1 Conclusion

Every insurer is required to meet minimum capital requirement in order to operate. Investments in prescribed assets is a statutory obligation and all insurers who were yet to comply with the prescribed ratio should ensure they do so to avoid stringent regulatory measures.

We strongly encourage investment in prescribed assets, treating customers fairly and ensuring that insurers start effective ground work to prepare for the imminent introduction of a solvency directive currently under consideration.

Insurers are further encouraged to embrace effective risk management systems, corporate governance, effective pricing models and effective ICT systems to ensure sustainable and profitable business growth.

END

